

Electronic payment solutions span prepaid distribution gap

New, sophisticated electronic payment solutions are providing multiple customer touchpoints for replenishing prepaid mobile airtime.

Prepaid service has become one of the fastest growing segments of the mobile phone market, enticing more and more consumers to become mobile phone clients. Recharge services are now appealing to mobile subscribers as an easy, convenient and flexible billing alternative.

The mobile phone market is enormous in Europe with 300 million subscribers,¹ where today as many as 57% of all mobile phone activations are prepaid.² In the United States, analysts expect an upsurge in the number of prepaid mobile subscribers to 34 million by 2003.³

One of the biggest challenges for mobile operators is to distribute mobile airtime to their customers. In many markets, the predominant recharge method for consumers still involves purchasing minutes via plastic or paper scratch-off cards. Euronet® Electronic ReCharge provides a secure, less costly alternative to traditional scratch-off cards with four electronic recharge solutions for mobile operators. Subscribers may purchase additional prepaid airtime in one step over their mobile handset, at a POS terminal, over the Internet or at any ATM operated by any financial institution.

Our growing list of ReCharge clients now includes EuroTel in the Czech Republic, Pannon GSM in Hungary and VIPnet in Croatia. In Poland, Euronet dominates the market, providing ReCharge services to all three mobile operators: Plus GSM, ERA GSM and Centertel. Through a strategic alliance with Gemplus, the world's number one provider of smart card-based solutions, Euronet's expanding suite of mobile payment solutions will be promoted to GSM mobile operators around the world.

As the popularity of prepaid mobile airtime services continues to increase, the need for cost-effective electronic distribution methods becomes more and more critical to mobile operators. We believe that our ReCharge product line has unlimited global opportunities.

Pannon GSM, Hungary

Convenient Prepaid Mobile Solutions



Pannon, one of the largest GSM mobile phone service companies in Hungary, now offers the convenience of purchasing prepaid mobile phone airtime at Euronet ATMs throughout the country. Up to 70% of Pannon's more than 1.2 million customers subscribe to prepaid services.

"We are astonished by our customers' response to Euronet's ReCharge service," says Tamás Tus, Sales Manager, Pannon GSM.

"Sales have dramatically exceeded our expectations. And our customers love the convenience and ease-of-use. What a success!"

¹GSM World (February 2001), ²Business Wire (October 2000), ³The Yankee Group (1999)